

Kim was hoping that they would eventually be able to sell the house for at least the value of the mortgage, which, of course, is the amount they actually owed the bank. Otherwise, they might be faced with the terrible possibility of having to file for bankruptcy, or perhaps even face foreclosure. Apparently, Kim and her husband had financed the purchase of their house with an adjustable rate mortgage (ARM) whose underlying interest rate had just been reset to a higher level. The monthly payments were now double what they were two years ago.

As you might suspect by this point in the narrative, I never actually met a Kimberly on an airplane to Boston. I'm sure there are many Kimberlys out there; I just haven't met them yet. I made up her and her very gloomy life just to make a point. Many nice people who have successful jobs, lovely houses, and hefty 401(k) accounts are destined to be Kimberly. They just don't know it yet.

These individuals have placed too many of their life eggs in one basket. They have, unfortunately, allocated their careers, houses, investment portfolios, and even marriages into one economic sector. They have thus violated the most important rule of modern financial theory, and that is to *diversify your risk factors*. Many people incorrectly believe that diversification only applies and is relevant to the stocks and bonds in your investment accounts. The truth is that it should be applied to anything that has the potential to generate an income or cash flow. Diversification should be applied to all the stocks and bonds in your daily life, not just to your financial portfolio.

In today's volatile economic environment and financial markets, investors are constantly reevaluating their attitude to financial risk on virtually a daily basis. During the times and periods stock markets are in positive territory and increasing in value, the masses believe they are risk tolerant. Then, in the next week, month, or year when markets decline sharply, they decide they are risk averse and can't handle the volatility. They sell out, liquidate, and miss-time the market. Their attitude to financial risk is more fickle than the markets themselves, and risk-aversion becomes an elusive temperament without a solid foundation. It is, therefore, almost meaningless to ask people what their risk attitude is. It changes based on yesterday's market, today's mood, and even tomorrow's weather. How can one make